

DUPONT PRACTICE CASE: COSTCO WHOLESALE CORP.



Costco is a global retail giant known for its membership-only warehouse clubs that offer bulk products at low prices. It has built a loyal customer base by focusing on cost efficiency, high-quality private label products, and exceptional member benefits. In the context of the business world, Costco is important because it challenges traditional retail models through its unique pricing strategy, limited product selection, and efficient inventory turnover, which results in low operating costs and high sales volume. Costco's approach to delivering value to customers, along with its financial success, makes it a significant player in the retail industry and an influential example of how scale and efficiency can drive profitability in a highly competitive market.

Costco's financial statements are included in the Appendix. This exercise focuses on years 2021 through 2023, with more recent financial information provided for current context.

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QUESTION 1: Assessing profitability

REQUIRED: Calculate the ratios listed in the table below and provide an overall assessment of profitability. Show all calculations and round to one decimal point.

NOTE: When providing an overall assessment, it is important to include explanations of relevant ratios. Providing an explanation does **not** mean simply listing facts about ratio variables (e.g., "gross profit is higher because cost of sales is lower relative to sales"). Rather it means attempting to identify the reasons for the differences (e.g., what is it that makes the costs of sales lower relative to sales?). In other words, calculating the ratios is only the first step (please state any and all assumptions you used in making the calculations). Contextualizing those numbers and explaining them is the real focus.

RATIO	2023	2022	2021
Gross profit margin = gross profit / net sales			
Operating profit margin = operating profit / sales			
Profit margin = net income / sales			
Asset turnover = sales / average total assets			
Return on assets (ROA) = net income / average total assets = profit margin x asset turnover			
Financial leverage (FL) = average total assets / average total equity			
Return on equity (ROE) = net income / average total equity = ROA x FL			

Overall assessment of profitability:

QUESTION 2: Cash conversion cycle

REQUIRED: Estimate the cash conversion cycle for Costco and compare it to Walmart. Show all calculations (as required) and state all necessary assumptions. Provide an overall interpretation and assessment of the cash conversion cycle.

NAME	Costco	Walmart
Days of inventory on hand 2023		44.5 days
Days of sales outstanding 2023		4.8 days
Days in payables 2023		42.9 days
Cash conversion cycle		6.4 days

Overall interpretation and assessment:

QUESTION 3: Assessing liquidity**REQUIRED:** Calculate the liquidity ratios listed below and use them to assess Costco's liquidity relative to Walmart.

NAME	Costco	Walmart
Current ratio 2023		0.82
Quick ratio 2023		0.18

Overall interpretation and assessment:**QUESTION 4: Assessing solvency****REQUIRED:** Calculate the solvency ratios listed below and use them to assess Costco's solvency relative to Walmart.

NAME	Costco	Walmart
Debt-to-equity 2023		1.90
Interest coverage 2023		10.52

APPENDIX: Costco Financial Statements

Consolidated Income Statements USD \$ in millions, for 12 months ended	Aug. 31, 2025	Sep. 1, 2024	Sep. 03, 2023	Aug. 28, 2022	Aug. 29, 2021	Aug. 30, 2020
Total revenue	\$275,235	\$254,453	\$242,290	\$226,954	\$195,929	\$166,761
Merchandise costs	239,886	222,358	212,586	199,382	170,684	144,939
Selling, general and administrative	24,966	22,810	21,590	19,779	18,537	16,387
Operating Income	10,383	9,285	8,114	7,793	6,708	5,435
Interest expense	-154	-169	-160	-158	-171	-160
Interest income and other, net	589	624	533	205	143	92
Income before taxes	10,818	9,740	8,487	7,840	6,680	5,367
Provision for income taxes	2,719	2,373	2,195	1,925	1,601	1,308
Net income	8,099	7,367	6,292	5,915	5,079	4,059

Consolidated Balance Sheets USD \$ in millions	Aug. 31, 2025	Sep. 1, 2024	Sep. 03, 2023	Aug. 28, 2022	Aug. 29, 2021	Aug. 30, 2020
CURRENT ASSETS						
Cash and cash equivalents	\$14,161	\$9,906	\$13,700	\$10,203	\$11,258	\$12,277
Short-term investments	1,123	1,238	1,534	846	917	1,028
Receivables, net	3,203	2,721	2,285	2,241	1,803	1,550
Merchandise inventories	18,116	18,647	16,651	17,907	14,215	12,242
Other current assets	1,777	1,734	1,709	1,499	1,312	1,023
Total current assets	38,380	34,246	35,879	32,696	29,505	28,120
OTHER ASSETS						
Property and equipment, net	31,909	29,032	26,684	24,646	23,492	21,807
Operating lease right-of-use assets	2,725	2,617	2,713	2,774	2,890	2,788
Other long-term assets	4,085	3,936	3,718	4,050	3,381	2,841
TOTAL ASSETS	77,099	69,831	68,994	64,166	59,268	55,556
CURRENT LIABILITIES						
Accounts payable	19,783	19,421	17,483	17,848	16,278	14,172
Accrued salaries and benefits	5,205	4,794	4,278	4,381	4,090	3,605
Accrued member rewards	2,677	2,435	2,150	1,911	1,671	1,393
Deferred membership fees	2,854	2,501	2,337	2,174	2,042	1,851
Current portion of long-term debt	75	103	1,081	73	799	95
Other current liabilities	6,514	6,210	6,254	5,611	4,561	3,728
Total current liabilities	37,108	35,464	33,583	31,998	29,441	24,844
OTHER LIABILITIES						
Long-term debt, excluding current portion	5,713	5,794	5,377	6,484	6,692	7,514
Long-term operating lease liabilities	2,460	2,375	2,426	2,482	2,642	2,558
Other long-term liabilities	2,654	2,576	2,550	2,555	2,415	1,935
Total liabilities	47,935	46,209	43,936	43,519	41,190	36,851
EQUITY						
Common Stock and additional paid-in capital	8,284	7,831	7,342	6,886	7,035	6,702
Accumulated other comprehensive loss	-1,770	-1,828	-1,805	-1,829	-1,137	-1,297
Retained earnings	22,650	17,619	19,521	15,585	11,666	12,879
Noncontrolling interests	0	0	0	5	514	421
Total equity	29,164	23,622	25,058	20,647	18,078	18,705
TOTAL LIABILITIES AND EQUITY	\$77,099	\$69,831	\$68,994	\$64,166	\$59,268	\$55,556